MONTHLY UPDATE

South Africa: monthly update, September – October 2026

Edition of 2026-10-12 · compiled by Claude Opus from the documents in the Corpus repository

> *Developments summarised from sources published between the beginning of last month and today.*

SUMMARY OF THE MONTH · GOVERNANCE · FINANCE · ICT INFRASTRUCTURE · DPI · DIGITALISATION · TECHNOLOGY · CAPACITY · INCLUSION · DATA · GEOPOLITICS

Summary of the month

The home affairs minister set 31 March 2027 as the end of green ID book production and showed the first working digital identity credential. Gauteng's legislature committee rejected the provincial department's assurance over the e-Panic Button data exposure and gave it seven days to report. The Competition Commission recommended conditional approval of a mobile operator's acquisition of a tower company on 30 September. The withdrawal of the policy direction reserving spectrum for a wireless open access network was gazetted, and the minister said a structural review of the State IT Agency has begun.

Governance

Strategies, plans and policies

On 4 September the regulator gazetted two market inquiries. The first covers the impact of over-the-top services on telecommunications, broadcasting and postal licensees; the regulator named Netflix and WhatsApp, saying such services have disrupted regulated linear broadcasting's competition for audiences and revenue. The second covers the affordability of voice and broadband for low-income households, rural communities, youth and informal-sector workers. Each runs in four phases. Neither sets a date for findings or commits the regulator to act on them. The regulator withdrew both notices of its inquiry into over-the-top services on 30 September, to be republished at a later date. The universal service agency said the minister has approved the fund's manual, after a draft was withdrawn in November 2025 and reissued for comment in February 2026. The deputy minister said the redrafted policy is due for ministerial input by the end of November 2026 and at cabinet by the end of 2026/27. The universal service agency gazetted a discussion document on the 2010 determination, with three options and a lean to targeted revision, comments closing 30 October 2026. The consultation, reported 10 October 2026, creates no new funding, subsidy or licensing obligation.

Legislation and regulation

Parliament's justice committee agreed on 23 September that the department may publish proposed amended court rules for access-to-information applications, standardising section 78 applications across all courts, requiring sworn section 80 representations five days before a hearing and repealing the old rules. They are proposals, not yet in force.

Data protection

An extortion attack on an insurance-technology provider, detected on 14 June and reported to the regulator two days later, exposed personal information linked to customers of about 45 insurers. On 16 September one insurer said a ransomware group's claim against it came from that incident. The National Consumer Commission sought service

providers for the national opt-out registry, aiming to have it live in 2026, with fines of up to R1m or 10% of turnover for non-compliant marketers. The state is buying the capability the framework does not yet govern. State IT agency tender documents require that police body-worn cameras must be able to conduct facial recognition and integrate with various security platforms, under a three-year contract RFB 3286-2026 whose bids close at 11am on 29 September 2026. No contract value, matching database, retention period or authorising legal instrument is published. The consumer commission launched the national opt-out registry, with direct marketers registering first and consumers able to register blocks from May 2027.

Regional collaboration

On 31 August the higher education minister told a meeting of regional vice-chancellors in Johannesburg that the region must build its own computing capability, trusted datasets, African-language technologies and cybersecurity rather than rent intelligence from others. One of the minister's five immediate priorities is agreement on a regional higher education data system. By the ministers' meeting in June 2027, the minister said, the region should be able to point to students and academics who have moved and to data being shared. The meeting's closing message was the same: build the systems that let qualifications, research and skills cross borders. No design, host, funding or data scope has been set for the data system.

Public debate and participation in policymaking

A joint report on harmful online content, launched on 18 September, finds the statutory framework adequate but its governance fragmented, and content moderation conducted in English to the exclusion of ten official languages.

Finance

Domestic budget appropriations and expenditure

The communications minister told Parliament the regulator collected R1.29bn for the universal service fund over five years and about R652m was unspent at the end of 2025/26, blaming delays in set-top-box installation and broadband projects.

New investments

The lead investor in the fibre recapitalisation put its commitment at more than R2.1bn, valuing the fibre companies at R14.4bn in total. A French development finance institution said it is investing US$20m in the fibre operator and its service providers through a consortium. A US development finance board approved an equity investment in the same group without publishing an amount; a press figure of up to US$155 million is a ceiling, not a commitment.

ICT Infrastructure

Connectivity

The competition authority puts wired internet prices up 3.5% and wireless up 4.1% in the first half of 2026, against cumulative headline inflation of 3.8%, compared with rises of 18.6% and 6.4% against inflation of 36% in the six years to July 2026. It is the first period in which a service the authority treats as essential has risen faster than inflation.

The state-affiliated wholesaler, whose network runs to about 180,000km with just under R3bn of capital expenditure a year, completed a third fibre route between Cape Town and Pretoria, via Springbok and Mahikeng, after the double cable break of 2025. No capacity figure has been published for the new route.

A British-funded community network programme launched in August plans R7m for 25 local community network operators in KwaZulu-Natal to deploy 250 public Wi-Fi hotspots, connect 150 public facilities and reach 1,500 homes. It uses the shared open-access model planned for the national wireless network before that network was put on hold.

On 30 September the Competition Commission recommended that the Tribunal approve MTN's acquisition of the tower company IHS, on conditions: non-discriminatory access to the towers for every operator with no preference for MTN SA, fair lease renewals, protection of customers' information, an operationally independent tower business, and protection of jobs and historically disadvantaged ownership. The Tribunal has not ruled. The minister's reply to Parliament records a R567m write-off of digital-migration inventory in 2025/26; no analogue switch-off date is set. An operator announced more than R500m of network investment in the Western Cape this financial year, naming townships. A costed national roadmap did reach the public: a development bank and planning commission study puts universal household broadband at R108-142bn in 2025 real terms, on a 0.76 square-kilometre hexagonal-grid mapping exercise. A costing, not an appropriation. That company turned a group net profit of R47.3 million against a R1.63 billion loss a year earlier, and the state signal distributor cut its net loss to R60 million from R246 million. The satellite operator said it has applied for licences to bring a direct-to-device service to South Africa with mobile operators, probably from around 2028. The regulator's chairperson said the authority has developed a draft satellite licensing framework.

The Auditor-General's briefing on the 2025/26 audits was reported as finding 2,076 of about 7,800 sites on the state IT agency's network running below 10Mbps and 294 government facilities still on copper. One of the appellants against the Cape Town data-centre approval wrote that the appeal went before the city's Planning Appeals Advisory Panel on 12 October, after which the mayor has 90 days to decide.

Data Storage

On 8 September a ratings agency rated South Africa's water resilience relatively low, citing water stress in Johannesburg, Gauteng and elsewhere; named energy and water as the main risks to a data-centre pipeline it puts at almost twice current global operating capacity across emerging markets; and counted more than 60 known data centres with about 500MW of disclosed capacity. It suggested operators may need modular energy supplies that bypass the main grid, and named water, not power, as the constraint that will decide growth.

In September the commission said it had received more than 250 submissions, and that the main issue was the availability, consistency and transparency of information on electricity and water demand, land use, infrastructure needs and effects on nearby communities. Civil-society groups repeated the call for construction to stop until that use has been investigated, after Cape Town approved a hyperscale facility; the city came close to running out of water in 2018. The commission has published no finding or timetable.

Equinix now puts its South African build-out at about 160MW of added capacity under a R7.5bn investment programme, having opened its Johannesburg facility in 2024, banked land in Johannesburg and Cape Town, and won planning approval in July 2026 for two Cape Town facilities expected to need about 170MW. The figures combine delivered, approved and planned capacity, and no completion date is given. In the same report the utility expects a generation surplus of 2GW–3GW over the next few years and names data centres among the demand it wants. The human rights commission's inquiry into the sector's electricity and water use continues. A hosting provider for online gaming announced its first African data centre, in Johannesburg; the site and its capacity are not disclosed. Amazon Web Services' Cape Town region, open since April 2020, carries 154 services, its own figure. The country's largest bank expanded its partnership with Huawei to move core banking systems onto a hybrid cloud, in phases across 21 African countries; no value or data-residency terms are published.

Energy

A Strategic Framework for Offshore Wind Development, published on 10 September 2026, was launched at the Africa Green Hydrogen Summit on 17 September.

Technical Capacity

The domain registry counted 1.5 million active registrations across its four commercial namespaces, which it says is a first for an African country-code domain.

Cybersecurity

A provider that runs verification checks for Cell C, EasyEquities and Bidvest Bank reported a breach on 9 September.

After the insurance-software supplier breached in June reportedly paid a ransom, the attackers began extorting insurers directly and published data allegedly taken from one insurer on the dark web; a researcher confirmed it was public.

Fake traffic-fine messages quoting motorists' correct number plates led the road traffic infringement agency to consider investigating whether the national vehicle database had been accessed. The fines platform being impersonated says its own system was not breached.

Gauteng's e-Panic Button app left its database unsecured, exposing users' names, phone numbers, crime reports with images and GPS coordinates, and location histories, until the contractor fixed the flaws after a news outlet's alert on 21 September. On 29 September the provincial department said the flaw was patched and no personal information compromised. On 30 September the Information Regulator said it had received no breach notification from the department and would engage it; its own compliance assessment of the department had not been finalised. The capacity added was commercial, not state: a 40-desk security operations centre opened in Cape Town under a R55m investment, serving customers across Africa and internationally. The legislature's committees said after a joint meeting on 5 October 2026 that the department notified the Information Regulator only that morning, about two weeks after it was alerted, and could not say how many records were exposed.

DPI

Data Exchange

On 8 September the revenue service confirmed that the VAT Act has carried definitions of e-invoicing, e-reporting and the interoperability framework since 1 April 2026, before the model was put out for comment.

On 9 September South Africa and Lesotho agreed to speed up smart one-stop border posts at Maseru and Ficksburg. No date or design has been published.

Digital Identity and CRVS

The state has a policy, draft regulations and a presidential commitment for a public key infrastructure, but no root of trust in operation; Zambia and Namibia launched national root certification authorities within the same fortnight.

In a written reply reported on 23 September the minister said the department was investigating 21 cases of identity theft and fraudulently acquired identity documents, and that an electronic interface with the electoral commission checks identity details given at voter registration and voting against the population register. No count of records checked or rejected through that interface has been published. The home affairs department said the electronic travel authorisation makes automated, risk-based decisions by machine learning, with a human brought in only on an anomaly. The home affairs department's quarterly report records a missed target to start procuring digital ID

hosting infrastructure. The same report records a missed target to revise the identification and registration Bill for public comment. The transport department told Parliament a Presidency-led working group is exploring digital driving licences within the government's digital identity framework. The transport department briefed Parliament on draft regulations extending light-vehicle licence cards from five to ten years, citing breakdowns of the card printing machine.

The transport department plans to amend the road traffic regulations so that traffic register number certificates and driving licences no longer serve as identification, after a 2023 check matched only 29,653 of 1,072,258 traffic register numbers to the immigration system. The minister said 300,000 dormant numbers had already been blocked and that about 8,000 holders had come forward to be verified by Home Affairs.

Digital Payments and Fintech

Cape Town will pilot cashless payment at three of its 18 driving licence testing centres, at Brackenfell, Fish Hoek and Strand, from 1 October, after six service offices stopped taking cash on 1 September. No alternative for residents without cards has been stated.

The rand stablecoin ZARU, listed on an exchange on 7 August, went live on 22 September on Circle's Arc blockchain as a founding pair on its StableFX foreign-exchange platform, trading against USDC. Standard Bank and Absa are named among the network's banking partners. No transaction volume has been published.

The app-only Bank Zero recorded its first break-even month in August 2026 on 275,000 direct customers, and is onboarding 500,000 customers of the remittance firm Mukuru through an alliance-banking platform live since January. The figures are the bank's own.

Paystack introduced card payment inside the Shopify merchant checkout without redirection, with a Shopify integration for its in-store terminal, reported on 25 September. No merchant count has been published.

An association of non-bank payment providers said the last of the Payments Association of South Africa's functions passed to the Reserve Bank and PayInc on 2 September, and that the Bank is taking its papers into account in an interchange determination project. It has also sent the Bank a proposal on merchant acceptance of PayShap. No draft interchange determination has been published.

Absa put an institutional digital-asset custody service live on 21 September, built on Ripple's custody technology, for asset managers, non-bank financial institutions, corporates and treasuries. It is not a retail offering, and no client or asset figures have been published. The rules are being rebuilt alongside the rail: three payments executives set out at a Johannesburg roundtable a proposed activity-based regulatory model letting non-banks and fintechs offer payment services directly rather than through a sponsoring bank, alongside richer payment data and faster cross-border rails. It is an industry account, not a regulator's publication: no draft licensing instrument or commencement date is held.

Registries

The companies commission launched on 29 September a disclosure module giving law enforcement agencies real-time access to beneficial ownership information, with search and connection-mapping. KwaZulu-Natal announced the launch of a portal listing its 10,067 audited public-works properties.

Sectoral management information systems

The state IT agency is procuring a 36-month incident management system for the police, with bids closing on 22 September. The tender states that the police have no single system for logging reported incidents. The fragmentation reached students: funding was restored for 182 students at one university after incorrect qualification codes and institution-to-scheme data-sharing defunded them under the N+ rule, and a further 1,212 in accredited accommodation and 115 funded after the portal closed remain unpaid.

Other GovTech and e-Gov

The electoral commission's audit trail shows no system activity in two of the six disputed councils in the two hours before the nomination deadline, and 2,274 candidates from 45 parties captured but never submitted as final. The governing party had said technical problems stopped its operators from submitting. On 23 September the commission said the party had lost its court challenge, that it had concluded end-to-end testing of its results system for the 4 November elections, and that parties could test the system through their own experts from 5 to 12 October.

On 15 September the Border Management Authority introduced a Port Health Management System at Durban Harbour, replacing shipping agents' e-mailed requests with online service requests, inspections, free pratique applications, endorsements, invoicing and payment. Durban is the pilot site; no date has been given for other ports. Gauteng's transport department launched a digital system to clear its operating-licence backlog. The minister told Parliament that the state IT agency moved from a qualified audit opinion to an unqualified one for 2025/26. The electoral commission opened its results system to audit by experts designated by four parties, after an independent external audit. The communications minister said the roadmap's first phase closes in February 2027 and that government digital systems remain fragmented. The social security agency set its messaging self-service channel inside a wider programme: online applications, payment-detail changes and electronic life certification, self-service kiosks, free Wi-Fi at offices, and integration of its systems with other government institutions to detect fraud. No uptake figure is published for any of it. The Auditor-General told Parliament the integrated justice system programme has not achieved its vision after about R4.9bn spent over a decade, with 63 of 506 planned network upgrades completed.

The Inter-Ministerial Committee on Migration said on 11 October that Home Affairs is to introduce an online, biometric intention-registration and appointment system for asylum applicants by 10 November 2026, while government asks the courts for a supervisory order on implementing the Constitutional Court's July judgment. The minister said the platform would check an applicant's biometrics against earlier rejected applications.

Digitalisation

Digitalisation of sub-national government

The Gauteng e-government department's 2025/26 annual report records 96 public Wi-Fi hotspots at schools, libraries, hospitals, clinics, hostels and licence testing centres, offering up to 500MB of free internet a day, 33 e-services live, 99% provincial network uptime and 7,271 cameras on the provincial safety network. The figures are the department's own.

Johannesburg's municipal network company set a 2026/27 target of 200,000 free Wi-Fi connections against 1,574,979 recorded in 2024/25, without explanation, and describes itself as under-capacitated, with 26 network staff for 1,200km of fibre and R20.7m of capital budget.

Tshwane and the CSIR launched an Enterprise Data and Analytics Platform on 29 September that pools municipal departments' service-delivery data, after a six-month test. The live war-room dashboard stays internal; the city will consider a public version once the data is fully tested. No cost has been stated. A collaboration agreement between Tshwane and the CSIR sets a two-year implementation period to 30 June 2028 for the city's data and analytics platform, which is to extend across its seven regions. The department put that camera estate at the disposal of a police murder investigation. No access rule, retention period or audit is published.

Technology

AI

On 22 September the same bank announced a responsible-AI framework written with Stellenbosch University's data-science school, setting life-cycle rules for human oversight and accountability. It is voluntary, and no audit or enforcement mechanism is stated.

The University of Cape Town began a four-year, GBP 4.4m (about R101m) Wellcome Trust programme with partners in Kenya, Uganda and Côte d'Ivoire, pairing open-source microscopes with machine-learning image analysis for infectious-disease research.

Provincial police warned that creating and sharing artificial-intelligence face-swap images of oneself in police uniform can breach section 68 of the South African Police Service Act 68 of 1995, which makes impersonating a police official an offence. No case or charge has been reported.

A market forecast says 80% of governments will use artificial-intelligence agents by 2028, and that the revenue service is exploring digital twins in tax processing. At a first summit on youth, artificial intelligence and the future of work, a deputy minister described inclusion as connection, capability and command — the third meaning who builds and shapes the technology, not only who can reach it. Neither statement comes with a programme, budget or date.

The state airports company set a five-year plan to 2031 to use AI in check-in, security, baggage handling and parking, with terminal patrol robots and a metaverse proof of concept in the first year, tied to a R21.7bn capital pipeline that also covers wider infrastructure modernisation. The pipeline is not broken down.

The financial conduct regulator's 2025/26 integrated report, presented to Parliament's finance committee in the last week of September, states that a framework for the regulator's own responsible use of AI is being developed, the one outstanding item under its principle on data and technology governance. No publication date is given. A consultancy partner said half of 903 South Africans surveyed had bypassed an employer's restrictions on AI tools. A UNDP programme reported GPU capacity procured, installed and activated with public institutions in six countries, the higher-specification training capacity concentrated in Kenya and South Africa. Its South African use case, crop observation from satellite and research data, waits on access to data held across institutions; no capacity figure or host is stated. The content regulator has approved a digitisation and AI strategy and plans to explore generative AI for monitoring, classification and case management over three to five years; none of it is yet in use. The largest mobile operator says it uses artificial intelligence for revenue assurance, detecting traffic tunnelled through zero-rated sites. No leakage or recovery figure is published. The service published its own account of the programme for the first time: a commissioner's keynote put trust, institutional capability, modernisation and stakeholder partnership at the centre of compliance strategy. No delivery date, budget or system scope is stated, so what is held is a strategy statement and not a delivery position.

ICT Industry

Online retail crossed 10 per cent of national retail turnover in June 2026 and is forecast at ZAR 159 billion for the year, on the study publisher's own account; the same study reports growth in cross-border e-commerce significantly slowed by the crackdown on low-value imports. Two fibre network operators confirmed merger talks, reported on 18 September; nothing is finalised. A bank's mobile virtual network reported 1.02 million subscriber identities and R3bn of gross revenue. The largest domestic operator lifted its effective interest in the Kenyan incumbent from 35 to 55 per cent on 30 June 2026, through a state share sale a Kenyan court has since voided.

The largest bank by assets signed a subscription agreement to invest in a Nigerian digital financial platform, to close with or shortly after that platform's proposed New York listing; no amount is stated.

Innovation ecosystem

An eight-month accelerator was launched on 9 September for twelve teams across Southern Africa building AI tools for classrooms. An account of 2 September reports start-up funding recovering, with founders still unable to find capital matched to their stage. A founder launched Alpha Ticker, reported on 17 September, to fund AI ventures. Fifteen AI startups were named to a three-month accelerator, from 1,057 applications.

Capacity

Training and skills

Employers report about 55% of workers showing little or no proficiency in mathematics or data skills, 55% saying their workforce has only basic digital literacy, 52% finding it difficult to hire anyone prepared for digital transformation and 70% rating workforce technology skills poor or very poor, against 118,500 unfilled ICT vacancies, 36% of them junior roles; the country is ranked second in the world on education spending and 67th on digital skills. The figures come from an industry opinion piece citing a university survey and a non-profit's vacancy count.

Inclusion

Access to services

The agency's managing director said on 22 September that 60% of executive committee posts had been vacant and that a permanent chief financial officer and executives for supply chain and for network, cloud and platform have since been appointed. Some of the more than a hundred departments it serves are buying elsewhere.

The Presidential Hotline, run since September 2009 on the state IT agency's case-management platform, was the subject of an oversight visit on 9 September, with automation on the agenda. The ParliMeter platform, which tracks MPs' attendance, bills, committees and ministerial answers, passed to the Parliamentary Monitoring Group as its EU-funded phase ended. Neither publishes a resolution rate or usage figures.

A private referral app linking rural health workers with specialist doctors passed three million patients referred, a total across five southern African countries with no figure for South Africa alone. The regulator withdrew its telecommunications affordability inquiry notice on 30 September, 26 days after gazetting it, and says it will republish it with a draft questionnaire. The social development department received a qualified audit opinion for 2025/26 over weaknesses in the agency's payment system, including grants paid to deceased people and government employees, Parliament's committee heard on 6 October 2026. The agency defended its reviews and biometric enrolment as fraud controls on 9 October.

Digital divides

A study reported on 21 September finds 34.2% of adults shopped online in 2025 against 79.1% of adults online: 23.9% among LSM 3 to 6 adults, and 31.7% of women against 36.9% of men.

Data

National statistics

An expression of interest for a consultant to develop South Africa's National Strategy for the Development of Statistics was issued on 9 September 2026, under a regional statistics project run through the SADC secretariat. A deputy minister in the Presidency said in a keynote address on 9 October 2026 that Census 2031 is in development, and called statistical independence a constitutional safeguard.

Geopolitics

US / hyperscaler activities

Microsoft told a government technology briefing that it has committed R25.8bn to cloud and AI investment in the country through 2027, offering departments its two in-country cloud regions and deployment options down to disconnected private environments under customer-held keys. The figure is the company's own, with no spend to date or delivery measure published.

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